Treasury Working Capital Guidelines

Policy owner: Treasury. Applies to: Northwind Industries Inc. and subsidiaries.

Section 1 - Purpose

These guidelines protect the working capital position of Northwind Industries by standardising how and when suppliers are paid.

Section 2 - Payment Runs

Supplier payments are released in two weekly payment runs. Urgent payments outside a payment run require approval from the Treasury Manager.

Section 3.1 - Standard Vendor Payment Terms

Standard vendor payment terms are Net 45 or Net 60 days from receipt of a valid invoice. Payment terms shorter than Net 45 require a Treasury exception approved by the Treasury Manager before the purchase order is released.

Section 3.2 - Early Payment Discounts

Payment earlier than the agreed terms is permitted only where the supplier offers a discount of at least 2 percent and Treasury confirms available liquidity.

Section 3.3 - Milestone Billing

Milestone billing is permitted when each milestone is tied to an accepted deliverable. Advance payments before delivery require Treasury approval.

Section 4 - Foreign Currency Contracts

Contracts denominated in a currency other than USD are paid at the spot rate on the payment date. Treasury may hedge exposures above USD 250,000 equivalent.

Section 5 - Invoice Requirements

A valid invoice states the purchase order number, the supplier tax identifier, the amount, the currency and the payment terms.